

**New Hope Community Capital, Inc.
and Subsidiaries**

**Consolidated Financial Statements
and Supplementary Information on
Federal Awards Programs**

**(With Independent Auditor's Report Thereon and
Reports on Internal Control and Compliance Thereon)**

December 31, 2024 and 2023



New Hope Community Capital, Inc. and Subsidiaries

Index

	<u>Page</u>
Independent Auditor's Report	2
Consolidated Financial Statements	
Consolidated Statements of Financial Position	5
Consolidated Statements of Activities	6
Consolidated Statements of Functional Expenses	7
Consolidated Statements of Cash Flows	8
Notes to Consolidated Financial Statements	9
Supplementary Information	
Schedule of Expenditures of Federal Awards	27
Notes to Schedule of Expenditures of Federal Awards	28
Independent Auditor's Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with <i>Government Auditing Standards</i>	29
Independent Auditor's Report on Compliance for Each Major Federal Program and Report on Internal Control over Compliance Required by the Uniform Guidance	31
Schedule of Findings and Questioned Costs	34

Independent Auditor's Report

To the Board of Directors
New Hope Community Capital, Inc.

Report on the Audit of the Financial Statements

Opinion

We have audited the consolidated financial statements of New Hope Community Capital, Inc. and Subsidiaries, which comprise the consolidated statements of financial position as of December 31, 2024 and 2023, and the related consolidated statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of New Hope Community Capital, Inc. and Subsidiaries as of December 31, 2024 and 2023, and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America ("GAAS") and our audit for the year ended December 31, 2024 in accordance with the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of New Hope Community Capital, Inc. and Subsidiaries and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion. The financial statements of the subsidiaries were not audited in accordance with *Government Auditing Standards*. The 2023 financial statements were not required to be audited in accordance with *Government Auditing Standards*.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about New Hope Community Capital, Inc. and Subsidiaries' ability to continue as a going concern for one year after the date that the consolidated financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of New Hope Community Capital, Inc. and Subsidiaries' internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about New Hope Community Capital, Inc. and Subsidiaries' ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audits.

Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The accompanying schedule of expenditures of federal awards, as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, is presented for purposes of additional analysis and is not a required part of the consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. The information has been subjected to the auditing procedures applied in the audits of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the

consolidated financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly stated, in all material respects, in relation to the consolidated financial statements as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated April 30, 2025, on our consideration of New Hope Community Capital Inc.'s internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of New Hope Community Capital Inc.'s internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering New Hope Community Capital Inc.'s internal control over financial reporting and compliance.

A handwritten signature in black ink that reads "CohnReznick LLP".

Bethesda, Maryland
April 30, 2025

New Hope Community Capital, Inc. and Subsidiaries

**Consolidated Statements of Financial Position
December 31, 2024 and 2023**

	<u>Assets</u>	
	<u>2024</u>	<u>2023</u>
Current assets		
Cash and cash equivalents	\$ 1,929,886	\$ 7,193,958
Designated cash	10,078,938	-
Due from related parties	81,230	72,560
Interest receivable, current portion	3,134,629	1,841,091
Prepaid expenses	897,885	409,851
Loans receivable, current portion	<u>22,055,091</u>	<u>20,149,554</u>
Total current assets	<u>38,177,659</u>	<u>29,667,014</u>
Other assets		
Interest receivable, net of current portion	3,428,479	3,348,418
Loans receivable, net of current portion and allowance for for credit losses of \$1,757,006 and \$980,818, respectively	33,743,741	28,922,501
Investments in affiliated entities	<u>255,830</u>	<u>229,323</u>
Total other assets	<u>37,428,050</u>	<u>32,500,242</u>
Total assets	<u><u>\$ 75,605,709</u></u>	<u><u>\$ 62,167,256</u></u>
	<u>Liabilities and Net Assets</u>	
Current liabilities		
Accounts payable and accrued expenses	\$ 10,342,923	\$ 515,318
Due to related parties	106,690	8,604
Accrued interest payable	675,954	428,987
Notes payable - current	13,942,767	11,372,523
Refundable advance	<u>412,929</u>	<u>5,800,000</u>
Total current liabilities	<u>25,481,263</u>	<u>18,125,432</u>
Long-term liabilities		
Notes payable, net of current portion, net of unamortized debt issuance costs	34,686,618	27,288,349
Subordinated notes payable	<u>4,339,581</u>	<u>6,288,885</u>
Total long-term liabilities	<u>39,026,199</u>	<u>33,577,234</u>
Total liabilities	<u>64,507,462</u>	<u>51,702,666</u>
Net assets		
Without donor restrictions	<u>11,098,247</u>	<u>10,464,590</u>
Total net assets	<u>11,098,247</u>	<u>10,464,590</u>
Total liabilities and net assets	<u><u>\$ 75,605,709</u></u>	<u><u>\$ 62,167,256</u></u>

See Notes to Consolidated Financial Statements.

New Hope Community Capital, Inc. and Subsidiaries

**Consolidated Statements of Activities
Years Ended December 31, 2024 and 2023**

	<u>2024</u>	<u>2023</u>
Revenues		
Interest income, loans	\$ 3,232,655	\$ 2,732,193
Charge-off recovery income	23,440	-
Asset management fees	40,000	-
Contributions and grants	19,544,729	976,265
Other income	199,906	-
Tax credit sales	<u>15,221,000</u>	<u>3,148,444</u>
Total revenues	<u>38,261,730</u>	<u>6,856,902</u>
Expenses		
Program activities		
Financial consulting expenses	414,982	253,200
Contribution expense	34,383,652	3,922,867
Grant expense	28,763	28,021
Provision for credit losses	776,188	183,683
Professional fees	212,271	11,848
Interest on notes payable	2,114,138	1,839,062
Insurance	<u>8,825</u>	<u>8,845</u>
Total program activities	<u>37,938,819</u>	<u>6,247,526</u>
Management and general		
Financial consulting expenses	240,598	146,800
Professional fees	58,047	91,125
Insurance	<u>5,116</u>	<u>5,128</u>
Total management and general	<u>303,761</u>	<u>243,053</u>
Total expenses	<u>38,242,580</u>	<u>6,490,579</u>
Other revenue		
Equity in income on investments in affiliated entities	<u>614,507</u>	<u>569,763</u>
Total other revenue	<u>614,507</u>	<u>569,763</u>
Change in net assets	<u>633,657</u>	<u>936,086</u>
Net assets without donor restrictions, beginning	<u>10,464,590</u>	<u>9,528,504</u>
Net assets without donor restrictions, end	<u><u>\$ 11,098,247</u></u>	<u><u>\$ 10,464,590</u></u>

See Notes to Consolidated Financial Statements.

New Hope Community Capital, Inc. and Subsidiaries

**Consolidated Statements of Functional Expenses
Years Ended December 31, 2024 and 2023**

	2024			2023		
	Program activities	Management and general	Total	Program activities	Management and general	Total
Expenses						
Financial consulting expenses	\$ 414,982	\$ 240,598	\$ 655,580	\$ 253,200	\$ 146,800	\$ 400,000
Contribution expense	34,383,652	-	34,383,652	3,922,867	-	3,922,867
Grant expense	28,763	-	28,763	28,021	-	28,021
Provision for credit losses	776,188	-	776,188	183,683	-	183,683
Professional fees	212,271	58,047	270,318	11,848	91,125	102,973
Interest on notes payable	2,114,138	-	2,114,138	1,839,062	-	1,839,062
Insurance	8,825	5,116	13,941	8,845	5,128	13,973
	<u>\$ 37,938,819</u>	<u>\$ 303,761</u>	<u>\$ 38,242,580</u>	<u>\$ 6,247,526</u>	<u>\$ 243,053</u>	<u>\$ 6,490,579</u>

See Notes to Consolidated Financial Statements.

New Hope Community Capital, Inc. and Subsidiaries

Consolidated Statements of Cash Flows
Years Ended December 31, 2024 and 2023

	<u>2024</u>	<u>2023</u>
Cash flows from operating activities		
Change in net assets	\$ 633,657	\$ 936,086
Adjustments to reconcile change in net assets to net cash provided by operating activities		
Equity in income on investments in affiliated entities	(614,507)	(569,763)
Amortization of debt issuance costs	31,796	66,869
Amortization of loan origination fee	(1,523)	(1,426)
Provision for credit losses	776,188	183,683
Decrease (increase) in assets		
Due from related parties	(8,670)	(8,670)
Prepaid expenses	(488,034)	(399,376)
Interest receivable, net	(1,373,599)	(1,188,473)
(Decrease) increase in liabilities		
Accounts payable and accrued expenses	9,827,605	207,523
Due to related parties	98,086	5,294
Accrued interest payable	246,967	95,110
Refundable advance	<u>(5,387,071)</u>	<u>5,623,735</u>
Net cash provided by operating activities	<u>3,740,895</u>	<u>4,950,592</u>
Cash flows from investing activities		
Distribution from investments in affiliated entities	588,000	1,048,600
Loan origination fee received	10,000	15,000
Cash disbursements on loans receivable	(39,826,887)	(28,612,169)
Cash receipts on loans receivable	<u>32,315,445</u>	<u>15,787,976</u>
Net cash used in investing activities	<u>(6,913,442)</u>	<u>(11,760,593)</u>
Cash flows from financing activities		
Debt issuance costs paid	(28,991)	(34,364)
Notes payable proceeds	21,904,261	17,486,106
Principal payments on note payable	<u>(13,887,857)</u>	<u>(6,491,008)</u>
Net cash provided by financing activities	<u>7,987,413</u>	<u>10,960,734</u>
Net increase in cash, cash equivalents and designated cash	4,814,866	4,150,733
Beginning of year		
Cash, cash equivalents and designated cash	<u>7,193,958</u>	<u>3,043,225</u>
End of year		
Cash, cash equivalents and designated cash	<u>\$ 12,008,824</u>	<u>\$ 7,193,958</u>
Supplemental disclosure of cash flow information		
Cash paid for interest	<u>\$ 1,835,375</u>	<u>\$ 1,677,083</u>

See Notes to Consolidated Financial Statements.

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

Note 1 - Organization and nature of operations

The consolidated financial statements include the accounts and transactions of New Hope Community Capital, Inc. and Subsidiaries (the "Corporation").

Organization and business

New Hope Community Capital, Inc. is a Massachusetts, nonprofit corporation organized to promote community development by improving the social and economic condition of underserved persons who lack access to capital and financial services, which qualifies as an organization formed for charitable purposes under Section 501(c)(3) of the Internal Revenue Code ("IRC") and is not a private foundation under Section 509(a)(2). In furtherance of its primary purpose, the Corporation provides services to borrowers and investors and capital for affordable housing and community development activities in low-income communities or that serve low-income persons in the form of equity investments, grants, or loans.

On December 23, 2014, the Corporation became certified as a Community Development Financial Institution ("CDFI") from the U.S. Treasury's Community Development Financial Institutions Fund ("CDFI Fund") for low-income targeted populations in various states. The CDFI certification status will be effective, unless, as a result of a review of the Corporation by the CDFI Fund, the CDFI Fund, in its sole discretion, provides notification of termination of certification. As of the date of the independent auditor's report, no such notification has been received.

Note 2 - Significant accounting policies

Basis of presentation

The accompanying consolidated financial statements are presented in accordance with accounting principles generally accepted in the United States of America ("GAAP"), as codified by the Financial Accounting Standards Board ("FASB ASC").

Principles of consolidation

The consolidated financial statements include the accounts of the Corporation and its wholly-owned subsidiaries. All significant inter-company transactions and accounts have been eliminated in consolidation.

Investment in affiliated entities

New Hope Fund VII, LLC (the "Fund") is a Massachusetts Limited Liability Company organized to acquire, hold, dispose of, and otherwise deal with Local Partnership Interests ("Local Partnerships"), which own properties that generate low-income housing tax credits ("LIHTC"). Generally, ASC 958-810-25 requires consolidation of limited liability companies, or similar entities by the managing member of that entity under the presumption that the managing member controls the limited member entity. The presumption of control by a managing member can be overcome if the limited members are able to exercise substantive kick-out or participating rights. The Corporation does not consolidate limited liability companies or similar entities in which it owns a managing member interest and the presumption of control by the managing member interest is able to be overcome. The Corporation reassesses whether or not it holds a controlling financial interest in limited liability companies or similar entities on an annual basis. The Fund has been accounted for under the equity method of accounting.

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

The Fund's principal investment objective is to provide a new investment vehicle that will advance the charitable purposes of increasing the pool of equity available for investments in affordable housing and of making such equity available to disadvantaged populations or underserved communities. The Local Partnerships were awarded LIHTC pursuant to IRC Section 42 ("Section 42"), which regulates the use of the properties as to occupant eligibility and unit gross rent, among other requirements.

The Corporation owns an interest in various entities ranging from .01% to 99.99%. The interests are accounted for under the equity method. Under the equity method, the investment is reflected at cost, adjusted for the Corporation's share of the investee's income or loss. The Corporation's share of the loss exceeded its original investment amount in several investments. The Corporation did not record these losses since the Corporation has not guaranteed obligations of the investee, nor is otherwise committed to provide further financial support. If any distributions are received from these affiliates, investment in affiliated entities is adjusted accordingly.

Impairment in investment in Local Partnerships

The Corporation reviews its investment in Local Partnerships for impairment whenever events or changes in circumstances indicate that the carrying value of such investment may not be recoverable. Recoverability is measured by a comparison of the carrying amount of the investment to the sum of the total amount of the remaining tax credits allocated to the Corporation, the realizable income tax benefit of net operating losses and any estimated residual value of the investment.

Use of estimates

The preparation of consolidated financial statements in conformity with GAAP accounting principles generally accepted in the United States of America requires management to make estimates and judgments that affect the reported amounts of assets and liabilities and disclosures of contingencies at the date of the consolidated financial statements and revenue and expenses recognized during the reporting period. Significant estimates are inherent in the preparation of these consolidated financial statements in a number of areas, including determining estimate of potential losses relating to loans. Actual results could differ from these estimates.

Revenue recognition

The Corporation earns revenue as follows:

Asset management fees

The Corporation is entitled to asset management fees for providing services in accordance with the operating agreements of the Local Partnerships. The fees are recognized as revenue when earned.

State tax credit sales

The Corporation sells state tax credits to other companies. All revenue is recognized at the time of sale. During the years ended December 31, 2024 and 2023, state tax credit sales of \$15,221,000 and \$3,148,444, respectively, were recognized on the accompanying consolidated statements of activities.

Interest income

Interest income is accrued as earned in accordance with the contractual terms of the loan agreements.

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

Origination fees

The Corporation earns origination fees charged to its borrowers pursuant to the terms of select loans that it makes. Loan origination fees are capitalized and amortized to interest income as a component of loans receivable over the term of the related loan using the straight-line method.

Contribution and government grants and contracts

Contributions, including unconditional promises to give (pledges), are recorded as revenue on the date received or pledged. Contributions are recorded as net assets with donor restrictions if they are received with donor stipulations that limit their use as to purpose or time. Conditional promises to give are not recognized until they become unconditional; that is, when the conditions on which they depend are substantially met. A transfer of assets that is conditional contribution is treated as refundable advance until the conditions have been substantially met or explicitly waived by the donor.

Contributed goods are recognized as revenue at their estimated fair value at date of receipt and expensed when used. Contributed services are recognized as revenue if the services create or enhance nonfinancial assets or require a specialized skill, are provided by individuals possessing those skills, and typically need to be purchased if not provided by donation. Contributed services that do not meet the above criteria are not recognized as revenues and are not reported in the accompanying consolidated financial statements. There were no donated goods or contributed services for the years ended December 31, 2024 and 2023.

The Corporation also receives government grants. These government agreements are evaluated as to whether they qualify as contributions or exchange transactions as defined by GAAP. Government grants and contracts that are considered unconditional contributions are recognized immediately. Government grants and contracts that are considered conditional contributions are not recognized as revenue until the barriers to entitlement are overcome. Government grants and contracts that are considered exchange transactions are recognized as revenue when services have been provided in accordance with the terms of the agreements.

Contribution and grant income in the amount of \$19,544,729 and \$976,265 was recognized for the years ended December 31, 2024 and 2023.

Classification of net assets

Net assets without donor restrictions: Net assets that are not subject to donor-imposed restrictions and may be expended for any purpose in performing the primary objectives of the organization. These net assets may be used at the discretion of the Corporation.

Net assets with donor restrictions: Net assets subject to stipulations imposed by donors and grantors. Some donor restrictions are temporary in nature; those restrictions will be met by the actions of the Corporation or by the passage of time. Other donor restrictions are perpetual in nature, whereby the donor has stipulated the Corporation be maintained in perpetuity.

Donor restricted contributions are reported as increases in net assets with donor restrictions. When a restriction expires, net assets are reclassified from net assets with donor restrictions to net assets without donor restrictions on the accompanying consolidated statements of activities. The Corporation elects to recognize donor restricted net asset as a change in net assets without donor restrictions if the restrictions is satisfied in the same period.

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

Concentration of credit risk

The Corporation maintains cash in one financial institution with insurance provided by the Federal Deposit Insurance Corporation ("FDIC") up to \$250,000 at each institution. The Corporation monitors the creditworthiness of this institution and has not experienced any credit losses in its cash and cash equivalents.

Loans and interest receivable

The Corporation makes loans to community based not-for-profit and for-profit mission aligned affordable housing developers, community organizations and certain affiliates for the purpose of supporting low-income communities. Loans are primarily for the purpose of acquiring, renovating and/or constructing multi-family residential housing or community development projects. The loans are primarily made up of the types described in Note 4. The loans are generally collateralized by real estate. The majority of the loans are to be repaid from surplus cash. A balloon payment is required for any unpaid principal balance when the property is sold, or at the stated maturity date.

Loans are carried at their unpaid principal balance, less an allowance for credit losses to reflect potentially uncollectable balances including potential losses relating to impaired loans. The allowance for credit losses is based upon management's periodic evaluation of the underwriting criteria used to initially underwrite the loan as well as other credit factors, economic conditions, historic loss experience other risks inherent in the overall portfolio such as geographic or sponsor concentration risks as well as trends. The allowance is increased through a provision for loan losses which is charged to expense and reduced by charge-offs, net of recoveries. Loans are charged off when repayment is not expected to occur. Additionally, the Corporation considers whether borrowers are experiencing financial difficulty and whether delays in payment are insignificant.

Interest received on nonaccrual loans, generally is either applied against principal or reported as interest income, according to management's judgement as to the collectability of principal.

Write-off of accrued interest receivable are recognized by reversing interest income. During the year ended December 31, 2024, \$126,774 of accrued interest receivable was written off. No write-off was incurred during the year ended December 31, 2023.

The Corporation also elected not to measure an allowance for credit losses for accrued interest receivables. For all classes of loans receivable, the accrual of interest is discontinued when the contractual payment of principal or interest has become 90 days past due, unless the loan is well secured and in the process of collection or management has doubts about further collectability of principal or interest even though the instrument is performing.

Programmatic loans

The Corporation makes programmatic loans to community based not-for-profit and for-profit mission aligned affordable housing developers, community organizations and certain affiliates for the purpose of supporting low-income communities. Programmatic loans are for the purpose of acquiring, renovating and/or constructing multi-family residential housing or community development projects. The programmatic loans are primarily made up of the types described in Note 4.

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

At the time of origination of the programmatic loans, management assesses the programmatic loans to determine if they qualify as a) a loan receivable, b) an inherent contribution, or c) in part a contribution and in part a loan receivable. The assessment is made based on management's best judgment after evaluation of facts and circumstances available at the time of first accounting for the loan. As further described in Note 4, management has determined that various programmatic loans qualify as entirely an inherent contribution, as the Corporation does not intend to pursue collection if the loan becomes past due, and the borrower's creditworthiness was not considered by management. For loans determined entirely to be contributions, contribution expense is recognized at origination for the full balance of the loan. Loan repayments will be recognized as revenue in the period received by the Corporation.

Income taxes

The Corporation is recognized as a 501(c)(3) charitable organization and is exempt from income taxes with respect to charitable activities, except for unrelated business income. There was no unrelated business income during the years ended December 31, 2024 and 2023. Accordingly, no provision or benefit for income taxes has been recorded in the accompanying consolidated financial statements. Tax returns required to be completed by tax-exempt entities are filed with the Internal Revenue Service ("IRS") and other taxing authorities. These income tax returns are subject to examination by the IRS for a period of three years. While no income tax returns are currently being examined by the IRS, tax years since 2021 remain open for examination.

The two wholly-owned subsidiaries are Subchapter C corporations ("C Corps") that are subject to taxation at the federal and state levels. Deferred taxes are computed based on the difference between the consolidated financial statements and income tax basis of assets and liabilities using enacted marginal tax rates. As of and for the years ended December 31, 2024 and 2023, the tax expense, deferred taxes and valuation allowances were immaterial.

Accordingly, these consolidated financial statements do not reflect a provision for income taxes and there are no other tax positions which must be considered for disclosure.

Prepaid expenses

The Corporation has certain prepaid administrative expenses. The Corporation initially records these expenditures as a prepaid expense and charges it to expense as services are performed.

Debt issuance costs

Debt issuance costs, net of accumulated amortization, are reported as a direct deduction from the face amount of the notes payable to which such costs relate. Amortization of debt issuance costs is reported as a component of interest expense and is computed using an imputed interest rate on the related loan.

Cash and cash equivalents

The Corporation considers all highly-liquid instruments purchased with a maturity of three months or less to be cash equivalents.

Designated cash

The Corporation considers designated cash to include cash amounts internally designated by management for uses to fulfill its certain program purposes. As of December 31, 2024 and 2023, the total amount of designated cash was \$10,078,938 and \$0, respectively.

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

Functional expenses

The costs of providing program services and other activities have been summarized on a functional basis on the accompanying statements of functional expenses. Expenses are charged directly to program or management and general categories based on specific identification and certain indirect expenses have been allocated based on time and level of effort as determined by management. Such allocations are determined by management on an equitable basis.

The expenses that are allocated include the following:

Expenses	Method of allocation
Financial consulting expenses	Time and effort
Contribution expense	Direct allocation
Grant expense	Direct allocation
Provision for credit losses	Direct allocation
Professional fees	Direct allocation
Interest on notes payable	Direct allocation
Insurance	Time and effort

Note 3 - Liquidity and availability

The following represents the Corporation's consolidated financial assets as of December 31, 2024 and 2023 available to meet general expenditures over the next 12 months:

	2024	2023
Financial assets at year end:		
Cash and cash equivalents	\$ 1,929,886	\$ 7,193,958
Due from related parties	81,230	72,560
Loans and interest receivable, net	62,361,940	54,261,564
Investments in affiliated entities	255,830	229,323
Total financial assets	64,628,886	61,757,405
Less amounts not available to be used within one year		
Loans and interest receivable, net	(37,172,220)	(32,270,919)
Investments in affiliated entities	(255,830)	(229,323)
Total amounts not available to be used within one year	(37,428,050)	(32,500,242)
Financial assets available to meet general expenditures over the next 12 months	\$ 27,200,836	\$ 29,257,163

Note 4 - Loans receivable and programmatic loans

Loans receivable and programmatic loans bear interest at rates varying from 0% to 9% and are for periods ranging from one year to 35 years. Programmatic loans determined to be contributions are expensed in the year of origination. Due to the nature of the programmatic loans, the Corporation does not recognize interest revenue until it collects interest payments from the borrowers based on the available surplus cash as defined.

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

For the years ended December 31, 2024 and 2023, there are no past due loans or past due accrued interest. During the years ended December 31, 2024 and 2023, interest revenue recognized was \$3,232,655 and \$2,732,193, including loan origination fee income recognized of \$115,523 and \$1,426, respectively.

The Corporation's loans receivable and programmatic loans consist of the following types:

Predevelopment

Predevelopment loans are primarily unsecured loans to borrowers to allow borrowers to advance affordable housing and community development projects. These loans generally have terms of three years with two one-year extensions allowed, and they are expected to be repaid at the project's initial closing.

As of December 31, 2024 and 2023, predevelopment loans of \$30,320,890 and \$29,708,956, respectively, remain outstanding and are included in loans receivable on the accompanying consolidated statements of financial position. As of December 31, 2024 and 2023, accrued interest of \$4,261,856 and \$3,125,348, respectively, remains outstanding and is included in interest receivable on the accompanying consolidated statements of financial position.

Construction

Construction loans are primarily secured, interest-only loans to borrowers to allow borrowers to advance affordable housing and community development projects in Chicago. These loans generally have construction terms of two to eight years and they are expected to be repaid at the project's stabilization. Some of these loans are Construction to Permanent loans, which convert to permanent loans with distinct terms at Stabilization.

As of December 31, 2024 and 2023, construction loans of \$14,516,741 and \$7,950,096, respectively, remain outstanding and are included in loans receivable on the accompanying consolidated statements of financial position. As of December 31, 2024 and 2023, accrued interest of \$474,825 and \$261,104, respectively, remains outstanding and is included in interest receivable on the accompanying consolidated statements of financial position.

State tax credit

State tax credit loans are loans where a project sponsor has transferred state tax credits to the Corporation to sell to an investor with the Corporation then lending the sale proceeds to the project. These loans generally have terms of 40 years or longer and are payable only from cash flow or refinancing proceeds. State tax credit loans are secured with a mortgage on the real estate involved.

During the years ended December 31, 2024 and 2023, the Corporation committed to programmatic state tax loans of \$15,221,000 and \$3,148,444, respectively, which were assessed as inherent contributions and expensed. At December 31, 2024, \$5,326,000 of the commitments were issued. The remaining \$9,895,000 is included in accounts payable and accrued expense on the accompanying consolidated statement of financial position at December 31, 2024 and is included in contribution expense on the accompanying consolidated statement of activities for the year ended December 31, 2024. At December 31, 2023, \$3,148,444 of the commitments were issued.

Commercial

Commercial tenant fit out loans are primarily secured loans to borrowers to allow borrowers to fit out spaces for mission oriented commercial tenants. These loans generally have terms of 20 years or less and are payable only from cash flow or refinancing proceeds.

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

During the years ended December 31, 2024 and 2023, commercial tenant fit out loans of \$751,265 remain outstanding and were fully reserved due to uncertain nature of the payment terms from future operating cash flows.

Homeownership

Homeownership loans are primarily secured loans to borrowers to allow borrowers to advance affordable homeownership projects.

During the year ended December 31, 2024, the Corporation issued homeownership loans of \$5,198,728, which were assessed as inherent contributions and expensed.

During the year ended December 31, 2024, the homeownership loans of \$897,097 remain outstanding and were fully reserved due to uncertain nature of the payment terms.

Leverage

Leverage loans involve the Corporation receiving grants and loans from a project sponsor or third parties with the fund received being loaned to an investment fund in a New Markets Tax Credit transaction.

During the year ended December 31, 2017, the Corporation issued programmatic loans of \$14,311,384, which were assessed to be inherent contributions and expensed. During the years ended December 31, 2024, the Corporation issued programmatic loans of \$12,847,632 and \$0, respectively, which were assessed to be inherent contributions and expensed. As of December 31, 2024 and 2023, accrued interest of \$0 and \$299,819, respectively, remains outstanding and is included in interest receivable on the accompanying consolidated statements of financial position as of December 31, 2024 and 2023.

As of December 31, 2024 and 2023, leverage loans of \$6,535,087 and \$7,107,798, net of loan origination fees of \$66,256 and \$57,779, respectively, remain outstanding, and are included in loans receivable on the consolidated statements of financial position.

Aggregate maturities of the leverage loans receivables for each of the next five years and thereafter are as follows:

2025	\$	6,362,477
2026		123,305
2027		115,561
2028		-
2029		-
Thereafter		-
Total		6,601,343
Less origination fee		(66,256)
Net		<u><u>\$ 6,535,087</u></u>

Neighborhood Stabilization Program 2 ("NSP2")

NSP2 loans are loans funded with NSP2 Program Income received from The Community Builders, Inc. under an equity equivalent agreement. These loans generally have terms of 30 years or longer and are payable only from cash flow or refinancing proceeds. NSP2 loans are secured with a mortgage on the real estate involved.

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

As of December 31, 2024 and 2023, NSP2 loans balance was \$4,534,758, which remained outstanding and is included in loans receivable on the consolidated statements of financial position. As of December 31, 2024 and 2023, NSP2 accrued interest of \$1,826,427 and \$1,503,238, respectively, remains outstanding, and is included in interest receivable on the consolidated statements of financial position.

Allowance for credit losses

The allowance for credit losses for total loans receivable is based on management's review of each individual loan. Management reviews cash flow projections of the underlying projects with potential future impact on the recent pandemic on the commercial real estate market, considers historical loan performance and explicit guarantee as well as implicit guarantee on the funding sources, and determines a reasonable amount of the loan balance that will possibly be collected and records a specific provision for credit losses. During the years ended December 31, 2024 and 2023, \$897,097 and \$176,265, respectively, was recorded as provision for credit losses for commercial loans and homeownership loans.

Additionally, management has determined, due to risks inherent in the predevelopment loan portfolio funded by specific sources partially offset by the positive experience on the loans' prior performance and consideration of general uncertainties in the broader economic environment, that a loan loss reserve of 3.5% should be established and applied to the unpaid principal balance of the specific predevelopment loans outstanding. In management's judgment, due to historical loan loss experience, the allowance for credit losses is adequate to absorb credit losses inherent in the loan portfolio. During the year ended December 31, 2024, \$120,909 was recorded as recovery of provision for credit losses for predevelopment loans. During the year ended December 31, 2023, \$7,418, was recorded as provision for credit losses for predevelopment loans.

The following table presents activity for the Corporation's allowance for credit losses for the years ended December 31:

	2024	2023
Allowance for credit losses, beginning	\$ 980,818	\$ 797,135
Provision	897,097	183,683
Charge-offs	-	-
Recoveries	(120,909)	-
	776,188	183,683
Balance, ending	1,757,006	980,818
Less current portion	-	-
Allowance for credit losses, net of current portion	\$ 1,757,006	\$ 980,818

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

As of December 31, 2024, and 2023, the loan portfolio and the related allowance consist of the following:

As of December 31, 2024						
	Balance	Accrued interest	Related allowance	Net collectible	Related origination fee	Net
Predevelopment loans	\$ 30,320,890	\$ 4,261,856	\$ (108,644)	\$ 34,474,102	\$ -	\$ 34,474,102
Construction loans	14,516,741	474,825	-	14,991,566	-	14,991,566
Leverage loans	6,601,343	-	-	6,601,343	(66,256)	6,535,087
NSP2 loans	4,534,758	1,826,427	-	6,361,185	-	6,361,185
Homeownership loans	897,097	-	(897,097)	-	-	-
Commercial loans	751,265	-	(751,265)	-	-	-
	<u>\$ 57,622,094</u>	<u>\$ 6,563,108</u>	<u>\$ (1,757,006)</u>	<u>\$ 62,428,196</u>	<u>\$ (66,256)</u>	<u>\$ 62,361,940</u>

As of December 31, 2023						
	Balance	Accrued interest	Related allowance	Net collectible	Related origination fee	Net
Predevelopment loans	\$ 29,708,956	\$ 3,125,348	\$ (229,553)	\$ 32,604,751	\$ -	\$ 32,604,751
Construction loans	7,950,096	261,104	-	8,211,200	-	8,211,200
Leverage loans	7,165,577	299,819	-	7,465,396	(57,779)	7,407,617
NSP2 loans	4,534,758	1,503,238	-	6,037,996	-	6,037,996
Homeownership loans	-	-	-	-	-	-
Commercial loans	751,265	-	(751,265)	-	-	-
	<u>\$ 50,110,652</u>	<u>\$ 5,189,509</u>	<u>\$ (980,818)</u>	<u>\$ 54,319,343</u>	<u>\$ (57,779)</u>	<u>\$ 54,261,564</u>

The following table presents a summary of the Programmatic loans issued by the Corporation, through the years ended December 31, 2024 and 2023, which have been expensed in the year of origination as contributions:

	Programmatic loans issued as of December 31, 2023	2024 activity	Programmatic loans issued as of December 31, 2024
State tax credit	\$ 50,097,052	\$ 5,326,000	\$ 55,423,052
Leverage loans	12,584,170	13,362,652	25,946,822
Other loans	465,891	5,198,728	5,664,619
Commercial loans	1,075,000	-	1,075,000
	<u>\$ 64,222,113</u>	<u>\$ 23,887,380</u>	<u>\$ 88,109,493</u>

	Programmatic loans issued as of December 31, 2022	2023 activity	Programmatic loans issued as of December 31, 2023
State tax credit	\$ 46,974,185	\$ 3,122,867	\$ 50,097,052
Leverage loans	12,584,170	-	12,584,170
Other loans	465,891	-	465,891
Commercial loans	1,075,000	-	1,075,000
	<u>\$ 61,099,246</u>	<u>\$ 3,122,867</u>	<u>\$ 64,222,113</u>

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

Note 5 - Investments in affiliated entities

The Corporation has a managing member interest in New Hope Fund VII, LLC. The Fund's principal investment objective is to provide a new investment vehicle that will advance the charitable purposes of increasing the pool of equity available for investments in affordable housing and of making such equity available to disadvantaged populations or underserved communities. The Local Partnerships were awarded LIHTC pursuant to IRC Section 42, which regulates the use of the properties as to occupant eligibility and unit gross rent, among other requirements.

The Fund shall continue in full force and effect until December 31, 2107, unless dissolved and terminated pursuant to their Operating Agreements or by law.

The Corporation also has a nonmanaging member interest in a housing entity.

As of December 31, 2024 and 2023, the investment in affiliated entities was \$255,830 and \$229,323, respectively.

Summarized combined financial information of the Local Partnerships and the housing entity in which the Corporation has invested as of December 31, 2024 and 2023, and for the years then ended is as follows:

Summarized Balance Sheets

December 31, 2024 and 2023

	2024	2023
Total assets	\$ 704,701	\$ 663,957
Total liabilities	\$ 379,840	\$ 376,841
Net assets	324,861	287,116
Total liabilities and net assets	\$ 704,701	\$ 663,957

Summarized Statements of Operations

Years Ended December 31, 2024 and 2023

	2024	2023
Revenue	\$ 1,811,933	\$ 1,721,966
Expense	(574,188)	(584,503)
Net loss	\$ 1,237,745	\$ 1,137,463
Other partners' share of losses	\$ 623,238	\$ 567,700
The corporation's share of income (losses)	614,507	569,763
Net loss	\$ 1,237,745	\$ 1,137,463

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

Note 6 - CDFI Programs

CDFI RRP

In 2021, the Corporation entered into a Community Development Financial Institutions Fund Assistance ("CDFI") Agreement under the CDFI's Rapid Response Program ("CDFI RRP"), and was awarded a conditional contribution of \$1,826,265. This contribution allows the Corporation to close financial products in Eligible Markets and/or in an approved Target Market as defined by CDFI RRP. An advance in the amount of \$1,826,265 was received by the Corporation in 2021. During the years ended December 31, 2024 and 2023, \$0 and \$176,265 was recognized as grant income, and was included a component of contributions and grants on the accompanying consolidated statements of activities, respectively.

CDFI ERP

In 2023, the Corporation entered into a Community Development Financial Institutions Fund Assistance Agreement under the CDFI's Equitable Recovery Program ("CDFI ERP") and was awarded a conditional contribution of \$6,197,097. This contribution allows the Corporation to close financial products in Eligible Markets and/or in an approved Target Market as defined by CDFI ERP. As of December 31, 2024 and 2023, \$0 and \$5,800,000 remains in refundable advance on the accompanying consolidated statements of financial position. During the year ended December 31, 2024, \$6,197,097 was recognized as grant income, and was included a component of contributions and grants on the accompanying consolidated statements of activities, respectively.

Note 7 - Notes payable

Housing Partnership Fund loans

On April 24, 2020, the Corporation received a loan from The Housing Partnership Fund, Inc. in the amount of \$2,000,000. The loan bears interest at 6.5% per annum. Commencing on May 1, 2020, interest on the unpaid principal balance is paid in arrears. On each of August 1, 2027, November 1, 2027 and February 1, 2028, \$500,000 of the outstanding principal shall be paid. The entire remaining balance and all accrued interest are due at maturity on May 6, 2028. As of December 31, 2024 and 2023, the outstanding principal balance was \$2,000,000 and \$2,000,000, respectively. During the years ended December 31, 2024 and 2023, interest of \$122,807 and \$132,000, was incurred, respectively. At December 31, 2024 and 2023, accrued interest was \$11,194 and \$0, respectively.

On September 15, 2023, the Corporation received a loan from The Housing Partnership Fund, Inc. in the amount of \$2,000,000. The loan bears interest at 4.5% per annum. Commencing on November 1, 2023, interest on the unpaid principal balance is paid in arrears. On each of December 1, 2029, March 1, 2030 and June 1, 2030, \$500,000 of the outstanding principal shall be paid. The entire remaining balance and all accrued interest are due at maturity on September 15, 2030. As of December 31, 2024 and 2023, the outstanding principal balance was \$2,000,000 and \$2,000,000, respectively. During the years ended December 31, 2024 and 2023, interest of \$91,500 and \$27,000, was incurred, respectively. At December 31, 2024 and 2023, accrued interest was \$7,750 and \$0, respectively.

LIIF loan

On November 3, 2017, the Corporation received a loan from The Community Builders Inc. through Low-Income Investment Fund in the amount of \$721,386. The loan bears no interest. The entire principal balance is due at maturity on September 3, 2057. As of December 31, 2024 and 2023, the outstanding principal balance was \$721,386.

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

CSH revolving loan

On March 26, 2018, the Corporation received a revolving loan from The Corporation for Supportive Housing through Supportive Housing Solutions Fund LLC in the amount of up to \$2,000,000. The loan bears interest at 7% per annum and matured on March 31, 2024 and may be subject to 2 one year extensions. In 2024, the loan was extended to mature on April 1, 2025. Subsequently In 2025, the loan agreement was amended to restate the Default Interest Rate and the Interest Rate, as defined, and to extend the maturity date to April 1, 2026. The entire principal amount and any outstanding accrued interest are due at the maturity date. During the years ended December 31, 2024 and 2023, interest of \$111,170 and \$90,827, respectively, was incurred. As of December 31, 2024 and 2023, the outstanding principal balance was \$1,000,000 and \$1,500,000, respectively. As of December 31, 2024 and 2023, accrued interest was \$176,794 and \$124,804, respectively.

LISC loan

On October 31, 2017, the Corporation received a loan from Local Initiatives Support Corporation in the amount of \$7,000,000. The loan bears interest at 7.95% per annum and matures on May 3, 2025. Quarterly payments of principal and interest in the amount of \$152,273 are due through the maturity date. Any remaining unpaid principal and interest will be due at the maturity date. Management plans to extend the loan nine to twelve months after the maturity date. During the years ended December 31, 2024 and 2023, interest of \$284,589 and \$350,224, respectively, was incurred. As of December 31, 2024 and 2025, the outstanding principal balance was \$5,531,956 and \$5,791,849, respectively. As of December 31, 2024 and 2023, accrued interest was \$113,049 and \$101,012, respectfully.

Benefit Chicago loan

On August 29, 2019, the Corporation received a loan from Arc Chicago, LLC in the amount of \$5,000,000, including separate disbursements in the amounts of \$3,500,000 and \$1,500,000. During the year ended December 31, 2023, the Corporation amended and restated the Benefit Chicago loan agreement to increase the loan amount to \$10,000,000, including separate disbursements of \$2,500,000. The loan bears interest at 3% per annum and matures on August 26, 2031. Commencing October 1, 2019, interest payments are payable on quarterly basis. The entire principal amount and any outstanding accrued interest is due at the maturity date. During the years ended December 31, 2024 and 2023, interest of \$267,234 and \$116,576, respectively, was incurred. As of December 31, 2024 and 2023, the outstanding principal balance was \$10,000,000 and \$7,978,532. As of December 31, 2024 and 2023, accrued interest was \$153,750 and \$132,004, respectively.

M&T revolving line of credit

On May 19, 2020, the Corporation received a revolving line of credit from M&T Bank in the amount of \$10,000,000. The line of credit bears interest at a floating rate of SOFR + 3.5%. Payments of accrued interest are due at the end of each month and the principal shall be payable 36 months after the initial allocation.

On April 1, 2024, the Corporation restated and amended the line of credit to increase the line of credit to \$13,000,000. The line of credit bears interest at a floating rate of SOFR + 3%. During the years ended December 31, 2024 and December 31, 2023, interest of \$825,110 and \$762,356, respectively, was incurred.

On December 31, 2024, the Corporation had \$95,287 of available undrawn line of credit. As of December 31, 2024 and 2023, the outstanding principal balance was \$12,904,713 and \$9,398,519, respectively. As of December 31, 2024 and 2023, accrued interest was \$0 and \$2,125, respectfully.

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

The Children's Hospital Corporation loan

On August 1, 2023, the Corporation received a loan from The Children's Hospital Corporation in the amount of \$2,000,000. The loan bears interest at a fixed rate of 2%. Payments of accrued interest and principal are due July 30, 2028. As of December 31, 2024 and 2023, interest of \$70,444 and \$16,514 was incurred, respectively. As of December 31, 2024 and 2023, the outstanding principal balance was \$2,000,000 and \$2,000,000 and accrued interest was \$55,222 and \$13,097, respectively.

Life Insurance Community Investment Initiatives revolving line of credit

On December 22, 2020, the Corporation received a revolving line of credit from The Life Insurance Community Investment Initiative, LLC, in the amount of \$2,500,000. The line of credit bears interest at a fixed rate of 6%. Payments of accrued interest are due at the end of each quarter and the principal and any unpaid interest shall be payable on January 2026. As of December 31, 2024 and 2023, interest of \$149,373 and \$149,634 was incurred. As of December 31, 2023 and 2022 the outstanding principal balance \$2,497,571 and \$2,299,632 and accrued interest was \$38,296 and \$0, respectively.

CareSource Ohio loan

On December 9, 2021, the Corporation received a loan from Caresource Ohio, Inc, in the amount of \$5,000,000. The loan bears interest at a fixed rate of 2%. Payments of accrued interest are due at the end of each quarter beginning April 1, 2022 and the principal and any unpaid interest shall be payable on December 8, 2028. As of December 31, 2024 and 2023, the outstanding principal balance was \$5,000,000 and \$5,000,000 and interest incurred in the years ended December 31, 2024 and 2023 was \$101,667 and \$125,806, respectively. As of December 31, 2024 and 2023, accrued interest was \$25,556 and \$0, respectively.

Common Spirit

On August 14, 2024, the Corporation received a loan from Commonsprit Health Operating, in the amount of \$5,000,000. The loan bears interest at a fixed rate of 3%. Payments of accrued interest are due at the end of each quarter and the principal and any unpaid interest shall be payable on July 30th, 2032. As of December 31, 2024, the outstanding principal balance was \$5,000,000 and accrued interest was \$37,500. Interest incurred in the year ended December 31, 2024 was \$56,250.

Aggregate maturities of the notes payable for each of the next five years and thereafter are as follows:

December 31, 2025	\$	13,942,767
2026		2,868,130
2027		5,148,662
2028		7,000,000
2029		2,000,000
Thereafter		<u>17,696,067</u>
	\$	<u><u>48,655,626</u></u>

Debt issuance costs, net of accumulated amortization totaled \$26,241 and \$29,046 as of December 31, 2024 and 2023, respectively, and are related to the following loans: M&T revolving line of credit, CSH revolving loan and Housing Partnership Fund loan.

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

Debt issuance costs are being amortized using the imputed rate between 0% and 6.15%. For the years ended December 31, 2024 and 2023, \$31,796 and \$66,869, respectively, of amortization of debt issuance costs are included in interest expense on the accompanying consolidated statements of activities.

In accordance with the terms of loan agreements with certain lenders, the Corporation is required to meet several financial covenants. The Corporation was in compliance with its financial covenants at December 31, 2024.

Note 8 - Subordinated notes payable

The Corporation entered into certain equity equivalent investment agreements in the form of subordinated notes payable and these agreements allow the loans to be converted into equity equivalent investments.

NSP2 loan

The Corporation entered into a note agreement with The Community Builders Inc. for up to \$10,500,000 with funds from The Community Builders Inc.'s Neighborhood Stabilization Program for the purpose of providing loans for the development of affordable housing in communities in which The Community Builders Inc. and the Corporation both operate. The note bore simple interest at 1% per annum. On December 21, 2017, the Corporation signed an NSP2 Equity Equivalent Agreement with The Community Builders Inc. Under the terms of the agreement, The Community Builders Inc. has converted the NSP2 loan to an equity equivalent investment in the Corporation, which is reflected as subordinated long-term debt on the accompanying consolidated statements of financial position for the years ended December 31, 2024 and 2023. Under the terms of the amended and restated agreement, the loan amount is \$3,139,581, and the loan bears interest at 0.01% per annum. The Corporation shall make quarterly interest-only payments. The principal balance of the loan shall be due on May 29, 2025. For the years ended December 31, 2024 and 2023, interest incurred was \$2,198 and \$1,054, respectively. As of December 31, 2024 and 2023, the outstanding principal balance was \$3,139,581. As of December 31, 2023 and 2022, accrued interest was \$56,843 and \$55,945, respectively.

Plumley loan

The Corporation entered into an equity equivalent investment agreement with The Community Builders Inc. on June 12, 2018 for up to \$1,750,000, which is reflected as subordinated long-term debt on the accompanying consolidated statements of financial position for the years ended December 31, 2019 and 2018. During the year ended December 31, 2020, the Corporation amended and restated the Plumley equity equivalent agreement to extend the term to May 24, 2025. The loan bears interest at .01% per annum. The principal balance of the loan shall be due on May 24, 2025. The Corporation may prepay the loan, in whole or in part, at any time without penalty. During the years ended December 31, 2024 and 2023, interest of \$0 was incurred and paid. At December 31, 2024 and 2023, the balance of the loan is \$0.

TCB CDE loan

The Corporation entered into an equity equivalent investment agreement with The Community Builders Inc. on July 18, 2018 for \$844,452, which is reflected as subordinated long-term-debt on the accompanying consolidated statement of financial position for the year ended December 31, 2018. The loan consisted of \$20,129 in cash and \$885,101 in predevelopment loans due from various entities. During the year ended December 31, 2019, the Corporation amended and restated the TCB CDE equity equivalent agreement to increase the loan balance to be \$1,800,081, including \$975,758 in cash and \$824,323 in predevelopment loans due from various entities. During the year

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

ended December 31, 2020, the Corporation amended and restated the TCB CDE equity equivalent agreement to increase the loan balance to be \$1,990,169, including \$1,165,846 in cash and \$824,323 in predevelopment loans due from various entities. The loan bears interest at .01% per annum. The principal balance of the loan shall be due on May 24, 2025. The Corporation may prepay the loan, in whole or in part, at any time without penalty. During the years ended December 31, 2024 and 2023, interest of \$0 and \$202, respectively, was incurred and paid. At December 31, 2024 and 2023, the balance of the loan is \$0 and \$1,949,304.

CMF loan

The Corporation entered into an equity equivalent investment agreement with The Community Builders Inc. on December 31, 2017 for up to \$997,993, which is reflected as subordinated long-term debt on the accompanying consolidated statements of financial position for the years ended December 31, 2023 and 2022. The loan bears interest at 0% per annum. The principal balance of the loan shall be due on December 31, 2056. The lender may renew the loan for one-year periods annually after the maturity date but is not obligated to do so. The Corporation may prepay the loan, in whole or in part, at any time without penalty. At December 31, 2024 and 2023, the balance of the loan is \$0.

AO Flats loan

The Corporation entered into an equity equivalent investment agreement with The Community Builders Inc. on April 1, 2021 for up to \$1,200,000, which is reflected as subordinated long-term debt on the accompanying consolidated statements of financial position for the years ended December 31, 2024 and 2023. The loan bears interest at 0% per annum. The principal balance of the loan shall be due on March 31, 2026. The Corporation may prepay the loan, in whole or in part, at any time without penalty. At December 31, 2024 and 2023, the balance of the loan is \$1,200,000.

Note 9 - Transactions with The Community Builders Inc.

Financial consulting expenses

In accordance with the Amended and Restated Agreement for Equity Finance Services, The Community Builders Inc. provides the Corporation with financial and accounting services related to its lending activity. The standard hourly billable rate will be charged at the approved rate of the U.S. Department of Housing and Urban Development ("HUD") for federal contracts between HUD and TCB. During 2018, the Corporation entered into an amended and restated agreement for the services described above for a set fee of \$400,000. During 2024, the Board and management agreed on an increased contract fee of \$655,580. During the years ended December 31, 2024 and 2023, the financial consulting expense of \$655,580 and \$400,000 was incurred and paid, respectively.

Additionally, the Corporation prepaid for future financial consulting services in 2024 in the amount of \$887,566, which is included in prepaid expenses on the accompanying consolidated statements of financial position.

Grant expense

In 2024 and 2023, the Corporation committed a grant to The Community Builder Inc. in the amount of \$28,763 and \$28,021, respectively, to support community and economic development in Chicago based on its loan agreement with Arc Chicago, LLC. At December 31, 2024 and 2023, \$274,072 and \$245,309 of grant contribution remained payable and is included in accounts payable and accrued expenses on the accompanying consolidated statements of financial position, respectively.

New Hope Community Capital, Inc. and Subsidiaries

Notes to Consolidated Financial Statements December 31, 2024 and 2023

Note 10 - Related party transactions

Due to related parties

The Corporation receives noninterest-bearing advances from several limited partnerships which the Corporation indirectly owns, to pay for various operating costs. As of December 31, 2024 and 2023, \$106,690 and \$8,604, respectively, are outstanding and included in due to related parties on the accompanying consolidated statements of financial position.

Due from related parties

The Corporation made noninterest-bearing advances to several limited partnerships, which the Corporation indirectly owns, to pay for various accounting fees and operating costs. As of December 31, 2024 and 2023, \$81,230 and \$72,560, respectively, are outstanding and is included in due from related parties on the accompanying consolidated statements of financial position. Note 11 - Current vulnerability due to certain concentrations. The Corporation's assets consist primarily of loans and interest receivable related to acquisition of interests in operating limited partnerships. This operation is concentrated in the multi-family real estate market. The Corporation invests in Local Partnerships, which operate properties located in Chicago, Illinois; Louisville, Kentucky; East Chicago, Indiana; and Akron, Ohio. Future operations of the properties could be affected by changes in economic or other conditions in those geographical areas or by changes in low-income housing subsidies or the demand for such housing.

Note 11- Subsequent events

Events that occur after the consolidated statement of financial position date but before the consolidated financial statements were available to be issued must be evaluated for recognition or disclosure. The effects of subsequent events that provide evidence about conditions that existed at the consolidated statement of financial position date are recognized in the accompanying consolidated financial statements. Subsequent events which provide evidence about conditions that existed after the consolidated statement of financial position date require disclosure in the accompanying notes. Management evaluated activity through April 30, 2025 (the date the consolidated financial statements were available to be issued) and concluded that no subsequent events have occurred that would require recognition in the consolidated financial statements or disclosure in the notes to the consolidated financial statements except as disclosed in Note 6 and following:

In April 2025, the Corporation amended its loan with CSH to restate the Default Interest Rate and the Interest Rate, as defined, and to extend the maturity date through April 1, 2026.

Supplementary Information

New Hope Community Capital, Inc. and Subsidiaries

**Schedule of Expenditures of Federal Awards
Year Ended December 31, 2024**

<u>Grantor/Pass-Through/Program Title</u>	<u>Federal Assistance Listing #</u>	<u>Provided to Subrecipients</u>	<u>Federal Expenditures</u>
U.S. Department of Treasury			
COVID-19 CDFI Equitable Recovery Program	21.033	<u>\$ -</u>	<u>\$ 6,095,825</u>
Total U.S. Department of Treasury/Federal Expenditures		<u><u>\$ -</u></u>	<u><u>\$ 6,095,825</u></u>

See Notes to Schedule of Expenditures of Federal Awards.

New Hope Community Capital, Inc. and Subsidiaries

**Notes to Schedule of Expenditures of Federal Awards
December 31, 2024**

Note 1 - Basis of presentation

The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal award activity of New Hope Community Capital, Inc. (the "Organization") under a program of the federal government for the year ended December 31, 2024. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the Organization, it is not intended to and does not present the financial position, changes in net assets or cash flows of the Organization.

Note 2 - Summary of significant accounting policies

Expenditures reported on the Schedule are reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Pass-through entity identifying numbers (contract or grant number) are presented where available.

Note 3 - Indirect costs

Indirect costs are not allocated under the terms of the federal award. Therefore, the 10% de minimis indirect cost rate allowed under the Uniform Guidance is not applicable.

Independent Auditor's Report on Internal Control over Financial Reporting and on
Compliance and Other Matters Based on an Audit of Financial Statements
Performed in Accordance with *Government Auditing Standards*

To the Board of Directors
New Hope Community Capital, Inc.

We have audited in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of New Hope Community Capital, Inc. (the "Organization") which comprise the consolidated statement of financial position as of December 31, 2024, and the related consolidated statements of activities, functional expenses, and cash flows for the year then ended, and the related notes to the consolidated financial statements and have issued our report thereon dated April 30, 2025. The financial statements of the affiliates were not audited in accordance with *Government Auditing Standards* and accordingly, this report does not include reporting on internal control over financial reporting or instances of reportable noncompliance associated with these affiliates.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the consolidated financial statements, we considered the Organization's internal control over financial reporting ("internal control") as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the consolidated financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Organization's internal control. Accordingly, we do not express an opinion on the effectiveness of the Organization's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Organization's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

CohnReznick LLP

Bethesda, Maryland
April 30, 2025

Independent Auditor's Report on Compliance for Each Major Federal Program and
Report on Internal Control over Compliance Required by the Uniform Guidance

To the Board of Directors
New Hope Community Capital, Inc.

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited New Hope Community Capital, Inc.'s (the "Organization") compliance with the types of compliance requirements identified as subject to audit in the OMB *Compliance Supplement* that could have a direct and material effect on its major federal program for the year ended December 31, 2024. The Organization's major federal program is identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the Organization complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on its major federal program for the year ended December 31, 2024.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America ("GAAS"); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States ("*Government Auditing Standards*"); and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* ("Uniform Guidance"). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the Organization and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the Organization's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the Organization's federal program.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the Organization's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the Organization's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the Organization's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the Organization's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the Organization's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

CohnReznick LLP

Bethesda, Maryland
April 30, 2025

New Hope Community Capital, Inc.

**Schedule of Findings and Questioned Costs
December 31, 2024**

Section 1 - Summary of Auditor's Results

Financial Statements

1. Type of report the auditor issued on whether the financial statements audited were prepared in accordance with GAAP: Unmodified
2. Internal control over financial reporting:
 - a. Material weakness(es) identified? _yes ☒ no
 - b. Significant deficiency(ies) identified? _yes ☒ none reported
3. Noncompliance material to financial statements noted? _yes ☒ no

Federal Awards

1. Internal control over major federal programs:
 - a. Material weakness(es) identified? _yes ☒ no
 - b. Significant deficiency(ies) identified? _yes ☒ none reported
2. Type of auditor's report issued on compliance for major federal programs: Unmodified
3. Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)? _yes ☒ no

4. Identification of major federal programs:

Assistance Listing Number

Name of Federal Program or Cluster

21.033

COVID- 19 CDFI Equitable Recovery Program

5. Dollar threshold used to distinguish between type A and B programs \$750,000
6. Auditee qualified as low-risk auditee? No

Section 2 - Financial Statement Findings

No matters were reported.

Section 3 - Major Federal Award Program Findings and Questioned Costs

No matters were reported.



Independent Member of Nexia

cohnreznick.com